

Avoiding Commingling and Conversion

Let's say that you've just accepted an earnest money deposit for \$5,000 from a buyer, and she's asked you to hold the check until the seller accepts her offer. It's Friday night, and you're going to be out of town for the weekend. You deposit the check into your personal checking account so it's not sitting around in your apartment all weekend. Besides, you might even earn a little interest! Then, come Monday, or whenever the seller accepts, you'll just write a new check for the earnest money deposit and deliver it to the escrow company.

Rewind! If you do this, you're guilty of commingling-mixing the client's money with your own. Even if you later replace the money, and even if you have the best intentions, you must never mix trust funds (also called escrow funds or funds belonging to others) with your own.

Commingling is wrong. Conversion is even worse. Conversion is using escrow funds for your own use.

The best way to avoid commingling and conversion is to handle earnest money properly. Make sure it gets to the right person in your firm or at the escrow company. Depending on where you have your license, there will be different rules for who may serve as an **escrow agent** (the third party who determines when conditions are met) and for how quickly escrow funds must be deposited. In many states, the title company serves as the escrow agent. In other states, a firm's managing, sponsoring, designated, or other supervising broker may serve as an escrow agent. Make sure you know the laws you need to follow, and never give in to the temptation to mix client funds with your personal funds. Oh, and never, ever use funds that don't belong to you.